

HOUSE BILL 542

By Vaughan

AN ACT to amend Tennessee Code Annotated, Title 7;
Title 13, Chapter 7; Title 65 and Title 68, relative to
utilities.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 7, Chapter 51, Part 23, is amended by
adding the following as a new section:

(a) As used in this section:

(1) "Third-party plans examiner" means an engineer with expertise in
water, electric, or natural gas infrastructure; and

(2) "Utility" includes a county-owned or municipal-owned water utility.

(b) When a plan of development is submitted to a utility for review of the plan's
compliance with applicable codes for water, electricity, or natural gas infrastructure, the
utility shall complete the review within thirty (30) days of the plan being submitted.

(c) If the utility does not complete the review within thirty (30) days, the person
who submitted the plan may hire a third-party plans examiner to review the plan for
compliance with all applicable codes.

(d) If a person engages a third-party plans examiner in lieu of review by the
utility, then the person shall submit the appropriate fee and a stamped and sealed copy
of all plans that were examined to the utility and provide:

(1) The building name, intended address, and local jurisdiction of the
planned development;

(2) The third-party plans examiner's name;

(3) A sworn statement under penalty of perjury by the third-party plans examiner, declaring that the plans comply with the applicable codes and that no deficiencies remain;

(4) A statement of the applicable codes of the local jurisdiction and the codes used to perform the plans examination;

(5) The occupancy classification of the structure; and

(6) Other information as the utility may reasonably require.

(e) No later than ten (10) business days after submission of the documents required under subsection (d), the utility shall:

(1) Approve the plans, if the plans comply with adopted codes;

(2) Provide to the person, or the person's designee, a report of deficiencies; or

(3) Request additional information necessary to ensure compliance with applicable codes.

(f) If ten (10) business days pass and the utility fails to take an action as required by subsection (e), then the utility must refund any associated plan review fees that were collected and the plans are deemed approved.

(g) If a plan of development is approved after review by a third-party plans examiner, the utility shall perform inspections of the installation and construction of the water, electric, and natural gas infrastructure of the development. The utility may charge a fee for such inspections. The fee must not exceed two percent (2%) of the total cost of the development.

(h) A utility shall provide persons with a schedule of all approved materials for water, electric, and natural gas infrastructure with specifications for such materials.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it, and applies to plans of development submitted on or after that date.